# T-12 OPERATING STATEMENT

Fairmont Assisted Living | Las Vegas, NV

| | |
|---|---|
| **Property** | Fairmont Assisted Living |
| **Period Ending** | August 18, 2026 |
| **Basis** | Accrual - Trailing 12 Months |
| **Prepared By** | Orion Commercial Management |
| **Size** | 192 units |

## Trailing 12-Month Operating Statement (Detail)

| Account | Nov | Dec | Jan | Feb | Mar | Apr | May | Jun | Jul | Aug | Sep | Oct | T-12 |
|---|---|---|---|---|---|---|---|---|---|---|---|---|---|
| 4000 Gross Potential Rent | 448,290 | 453,682 | 454,063 | 440,864 | 459,114 | 437,337 | 479,455 | 437,734 | 461,027 | 488,904 | 477,696 | 445,280 | 5,483,446 |
| 4010 Loss to Lease | 412,395 | 403,815 | 400,464 | 398,778 | 418,908 | 427,702 | 416,925 | 420,082 | 415,258 | 431,351 | 400,902 | 413,903 | 4,960,483 |
| 4020 Vacancy Loss | 308,888 | 310,219 | 295,813 | 300,211 | 287,648 | 295,474 | 291,823 | 322,990 | 318,130 | 285,783 | 311,261 | 299,625 | 3,627,866 |
| 4030 Concessions | 58,877 | 60,053 | 60,493 | 63,437 | 61,392 | 64,889 | 61,449 | 60,670 | 66,300 | 59,936 | 59,283 | 64,968 | 741,747 |
| 4040 Bad Debt | 213,622 | 195,210 | 192,778 | 216,104 | 212,203 | 210,953 | 216,748 | 191,146 | 213,218 | 201,877 | 208,605 | 194,250 | 2,466,713 |
| 4050 Late Fees | 232,983 | 258,084 | 237,318 | 229,616 | 241,946 | 227,817 | 254,495 | 231,385 | 244,841 | 245,535 | 238,639 | 233,310 | 2,875,968 |
| 4060 Utility Reimbursements | 169,248 | 171,280 | 177,930 | 180,932 | 170,966 | 172,143 | 185,051 | 177,237 | 180,353 | 169,292 | 173,710 | 175,001 | 2,103,142 |
| 4070 Parking Income | 312,193 | 319,069 | 296,265 | 303,870 | 310,457 | 312,186 | 308,137 | 295,819 | 302,662 | 318,741 | 305,907 | 290,442 | 3,675,747 |
| 4080 Application Fees | 312,876 | 327,804 | 293,702 | 310,877 | 308,484 | 295,399 | 321,228 | 297,530 | 315,844 | 326,680 | 322,693 | 320,112 | 3,753,229 |
| 4090 Pet Rent | 201,199 | 188,810 | 180,759 | 187,774 | 201,637 | 181,896 | 193,495 | 191,678 | 183,921 | 189,459 | 191,359 | 196,567 | 2,288,553 |
| 4100 Laundry Income | 93,525 | 92,087 | 100,503 | 101,605 | 94,815 | 100,325 | 89,232 | 100,313 | 98,002 | 99,904 | 90,348 | 95,023 | 1,155,682 |
| 4110 Cable/Internet Revenue | 315,020 | 306,084 | 318,118 | 307,757 | 333,392 | 297,716 | 307,836 | 310,531 | 296,318 | 329,625 | 294,247 | 326,802 | 3,743,447 |
| 4120 CAM Reimbursements | 354,148 | 362,221 | 364,602 | 330,635 | 349,577 | 362,334 | 350,377 | 327,245 | 344,224 | 323,267 | 344,519 | 353,634 | 4,166,783 |
| 4130 Tax Reimbursements | 159,694 | 149,429 | 151,276 | 158,239 | 151,106 | 147,526 | 151,044 | 149,405 | 163,485 | 150,934 | 159,493 | 163,140 | 1,854,771 |
| 4140 Insurance Reimbursements | 388,239 | 368,559 | 391,122 | 399,672 | 393,883 | 364,804 | 352,946 | 391,361 | 374,435 | 399,375 | 390,364 | 362,475 | 4,577,235 |
| 4150 Percentage Rent | 254,546 | 269,929 | 282,538 | 250,532 | 267,834 | 248,884 | 247,449 | 246,760 | 268,779 | 280,633 | 280,556 | 270,442 | 3,168,883 |
| 4160 Misc. Income | 332,880 | 304,954 | 313,793 | 299,224 | 340,342 | 332,999 | 317,393 | 316,116 | 317,053 | 340,308 | 300,248 | 332,481 | 3,847,790 |
| 4170 Payroll - Management | 26,874 | 26,980 | 25,927 | 26,042 | 28,336 | 28,343 | 27,081 | 26,796 | 25,308 | 27,328 | 27,972 | 25,535 | 322,523 |
| 4180 Payroll - Leasing | 31,578 | 31,453 | 30,885 | 28,906 | 31,305 | 29,703 | 29,356 | 33,185 | 32,618 | 31,076 | 31,806 | 29,336 | 371,206 |
| 4190 Payroll - Maintenance | 42,904 | 42,273 | 39,282 | 39,977 | 43,973 | 42,845 | 42,296 | 42,816 | 41,832 | 43,129 | 39,330 | 44,472 | 505,130 |
| 4200 Payroll Taxes & Benefits | 19,790 | 21,688 | 20,271 | 19,220 | 19,829 | 20,916 | 20,470 | 19,903 | 20,271 | 20,198 | 19,047 | 19,012 | 240,615 |
| 4210 Repairs - Plumbing | 36,849 | 37,056 | 39,908 | 37,422 | 37,248 | 37,756 | 37,232 | 37,023 | 40,461 | 38,821 | 39,956 | 40,925 | 460,658 |
| 4220 Repairs - HVAC | 33,319 | 34,675 | 34,546 | 36,330 | 36,623 | 36,246 | 36,212 | 36,869 | 32,775 | 34,593 | 36,198 | 36,355 | 424,741 |
| 4230 Repairs - Electrical | 10,607 | 10,435 | 10,310 | 11,185 | 10,567 | 11,075 | 11,181 | 10,508 | 11,628 | 10,270 | 11,386 | 10,220 | 129,372 |
| 4240 Repairs - Appliances | 41,987 | 42,903 | 41,305 | 41,999 | 43,244 | 42,093 | 45,419 | 45,073 | 46,746 | 46,672 | 45,835 | 42,696 | 525,972 |

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## Trailing 12-Month Operating Statement (Detail)

| Account | Nov | Dec | Jan | Feb | Mar | Apr | May | Jun | Jul | Aug | Sep | Oct | T-12 |
|---|---|---|---|---|---|---|---|---|---|---|---|---|---|
| 4440 Accounting & Audit | 21,233 | 21,418 | 20,002 | 21,065 | 20,711 | 20,603 | 19,413 | 20,516 | 20,586 | 19,946 | 18,759 | 21,405 | 245,658 |
| 4450 Licenses & Permits | 11,807 | 11,660 | 11,732 | 12,046 | 11,169 | 11,022 | 12,488 | 12,043 | 12,274 | 12,144 | 12,503 | 11,224 | 142,113 |
| 4460 Management Fee | 55,388 | 55,857 | 57,356 | 51,942 | 54,609 | 56,635 | 51,230 | 54,332 | 56,970 | 53,841 | 52,157 | 52,125 | 652,442 |
| 4470 Property Insurance | 15,440 | 15,457 | 15,444 | 14,561 | 15,012 | 14,342 | 15,188 | 14,820 | 13,982 | 14,754 | 13,673 | 15,446 | 178,120 |
| 4480 Real Estate Taxes | 5,169 | 5,427 | 5,040 | 5,160 | 5,585 | 5,457 | 4,932 | 5,436 | 4,958 | 5,384 | 5,203 | 5,042 | 62,794 |
| 4490 Asset Management Fee | 18,071 | 17,886 | 18,166 | 16,934 | 17,391 | 18,224 | 17,905 | 16,395 | 18,599 | 18,575 | 16,602 | 18,530 | 213,277 |
| 4500 Replacement Reserves | 46,297 | 43,116 | 43,113 | 44,104 | 45,149 | 42,711 | 44,825 | 44,499 | 46,493 | 43,122 | 43,694 | 46,459 | 533,583 |
| 4510 Roof Repairs | 17,983 | 17,067 | 16,416 | 17,967 | 18,318 | 16,665 | 16,981 | 17,502 | 17,539 | 16,591 | 16,860 | 17,297 | 207,187 |
| 4520 Parking Lot Repairs | 33,436 | 35,071 | 33,414 | 34,616 | 34,804 | 34,828 | 33,480 | 32,535 | 31,263 | 33,013 | 31,252 | 31,453 | 399,165 |
| 4530 Signage | 23,007 | 25,349 | 23,291 | 23,585 | 22,792 | 23,567 | 24,624 | 22,996 | 23,881 | 22,284 | 23,775 | 23,711 | 282,862 |
| 4540 Tenant Improvements | 11,139 | 10,197 | 10,268 | 10,458 | 10,791 | 10,415 | 11,246 | 10,980 | 10,588 | 10,598 | 10,475 | 10,422 | 127,579 |
| 4550 Leasing Commissions | 41,837 | 41,902 | 42,166 | 39,728 | 39,177 | 38,481 | 39,449 | 38,525 | 40,158 | 41,452 | 41,650 | 40,840 | 485,366 |
| 4000 Gross Potential Rent | 489,530 | 429,921 | 492,802 | 462,678 | 448,300 | 460,596 | 460,437 | 445,898 | 448,080 | 451,585 | 445,333 | 485,385 | 5,520,546 |
| 4010 Loss to Lease | 66,486 | 68,649 | 71,088 | 68,814 | 68,724 | 73,713 | 71,938 | 73,118 | 66,289 | 67,546 | 72,638 | 65,667 | 834,669 |
| 4020 Vacancy Loss | 353,298 | 365,867 | 342,562 | 346,948 | 358,230 | 329,381 | 350,644 | 355,114 | 361,324 | 353,404 | 331,933 | 337,482 | 4,186,187 |
| 4030 Concessions | 50,401 | 47,875 | 47,691 | 50,282 | 45,836 | 44,862 | 45,697 | 47,931 | 47,316 | 50,312 | 44,862 | 46,663 | 569,727 |
| 4040 Bad Debt | 278,425 | 271,479 | 298,290 | 304,206 | 272,631 | 280,753 | 293,152 | 290,422 | 281,325 | 288,727 | 309,356 | 291,043 | 3,459,809 |
| 4050 Late Fees | 343,815 | 359,229 | 335,976 | 366,348 | 334,964 | 361,291 | 348,859 | 322,010 | 358,693 | 341,219 | 352,266 | 346,221 | 4,170,890 |
| 4060 Utility Reimbursements | 96,787 | 101,834 | 94,940 | 105,025 | 107,125 | 106,718 | 102,300 | 107,601 | 101,293 | 103,088 | 104,405 | 103,687 | 1,234,801 |
| 4070 Parking Income | 297,234 | 289,424 | 307,440 | 290,851 | 296,685 | 298,201 | 306,133 | 290,826 | 290,673 | 298,549 | 295,287 | 312,239 | 3,573,542 |
| 4080 Application Fees | 210,100 | 201,329 | 201,832 | 215,030 | 217,785 | 196,765 | 218,716 | 210,487 | 203,559 | 197,167 | 194,668 | 196,975 | 2,464,412 |
| 4090 Pet Rent | 283,178 | 295,317 | 309,461 | 308,391 | 283,075 | 313,473 | 287,394 | 290,578 | 319,087 | 306,546 | 299,569 | 312,622 | 3,608,690 |
| 4100 Laundry Income | 251,339 | 248,626 | 262,824 | 257,707 | 246,740 | 244,984 | 239,520 | 264,567 | 235,853 | 265,336 | 236,276 | 263,308 | 3,017,080 |
| 4110 Cable/Internet Revenue | 40,856 | 43,310 | 42,636 | 39,221 | 44,235 | 43,328 | 39,922 | 39,563 | 39,298 | 40,783 | 44,286 | 41,479 | 498,915 |
| 4120 CAM Reimbursements | 437,890 | 412,506 | 404,414 | 409,741 | 429,283 | 411,525 | 423,626 | 395,101 | 423,240 | 404,398 | 388,624 | 403,064 | 4,943,410 |
| 4130 Tax Reimbursements | 263,652 | 258,902 | 282,343 | 247,367 | 272,462 | 276,187 | 269,364 | 271,515 | 273,105 | 267,102 | 281,824 | 259,119 | 3,222,942 |
| 4140 Insurance Reimbursements | 204,516 | 197,904 | 201,167 | 194,847 | 205,240 | 190,331 | 201,347 | 185,449 | 193,322 | 187,253 | 200,832 | 193,213 | 2,355,420 |
| 4150 Percentage Rent | 368,246 | 353,684 | 359,763 | 352,097 | 352,608 | 362,051 | 363,401 | 366,959 | 394,098 | 384,256 | 366,991 | 350,196 | 4,374,351 |
| 4160 Misc. Income | 27,553 | 28,975 | 29,543 | 28,589 | 30,138 | 27,801 | 29,620 | 29,853 | 30,706 | 29,808 | 27,785 | 31,038 | 351,409 |
| 4170 Payroll - Management | 21,307 | 18,953 | 18,690 | 20,946 | 19,828 | 21,353 | 19,598 | 18,646 | 18,746 | 18,671 | 19,823 | 20,547 | 237,108 |
| 4180 Payroll - Leasing | 5,087 | 5,598 | 5,241 | 5,050 | 5,380 | 5,053 | 5,050 | 5,215 | 5,108 | 5,673 | 5,732 | 5,054 | 63,242 |
| 4190 Payroll - Maintenance | 36,552 | 38,249 | 39,698 | 39,537 | 35,763 | 35,136 | 39,556 | 38,295 | 36,323 | 36,285 | 36,099 | 35,464 | 446,957 |
| 4200 Payroll Taxes & Benefits | 6,210 | 6,587 | 6,738 | 6,265 | 6,166 | 6,213 | 6,424 | 6,652 | 6,543 | 6,055 | 6,225 | 6,447 | 76,526 |
| 4210 Repairs - Plumbing | 42,301 | 44,231 | 45,386 | 43,361 | 47,635 | 45,108 | 45,029 | 45,097 | 48,066 | 47,624 | 47,300 | 44,499 | 545,636 |
| 4220 Repairs - HVAC | 10,317 | 10,157 | 11,091 | 10,043 | 10,588 | 10,110 | 10,283 | 9,916 | 10,186 | 9,986 | 10,830 | 10,593 | 124,100 |
| 4230 Repairs - Electrical | 41,993 | 42,800 | 42,245 | 41,521 | 44,527 | 44,060 | 41,977 | 43,857 | 42,301 | 43,207 | 43,952 | 43,755 | 516,194 |
| 4240 Repairs - Appliances | 19,760 | 20,077 | 21,728 | 20,480 | 20,128 | 22,041 | 21,496 | 20,246 | 19,458 | 19,695 | 21,290 | 21,603 | 248,003 |
| 4250 Painting & Decorating | 15,958 | 15,013 | 15,756 | 15,133 | 16,256 | 15,436 | 16,548 | 16,596 | 14,630 | 16,622 | 15,380 | 14,725 | 188,053 |
| 4260 Flooring | 22,394 | 24,714 | 23,875 | 22,933 | 23,299 | 22,460 | 24,499 | 23,280 | 24,030 | 23,070 | 24,215 | 22,735 | 281,505 |
| 4270 Make-Ready / Turnover | 15,610 | 14,983 | 15,285 | 14,267 | 14,150 | 14,688 | 14,762 | 15,277 | 14,125 | 13,909 | 15,355 | 15,720 | 178,131 |
| 4280 Landscaping Contract | 7,987 | 7,689 | 7,720 | 8,159 | 8,269 | 8,015 | 7,817 | 7,971 | 7,994 | 7,539 | 7,364 | 7,672 | 94,197 |
| 4290 Snow Removal | 23,113 | 23,967 | 23,122 | 24,107 | 23,973 | 24,026 | 25,470 | 24,371 | 25,419 | 25,513 | 23,590 | 22,951 | 289,623 |
| 4300 Janitorial | 12,487 | 11,965 | 12,114 | 12,301 | 12,094 | 12,004 | 12,456 | 12,776 | 12,662 | 12,169 | 12,527 | 12,414 | 147,969 |
| 4310 Pest Control | 30,735 | 28,735 | 28,595 | 29,374 | 30,218 | 27,571 | 30,621 | 27,499 | 28,272 | 29,333 | 30,627 | 29,782 | 351,363 |

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## Valuation Discussion

Effective gross income for the trailing period was $426,000, representing a 8.4% increase over the prior year. Occupancy stands at 96.4% with an average resident length of stay of 4 years. Net operating income is projected to grow at a compound annual rate of 5.0% over the hold period. Dining, housekeeping, transportation and activities programming are included in the base fee. The going-in capitalization rate of 8.04% reflects the in-place income and the stabilized occupancy assumption. Management fees are calculated at 4.9% of collected revenue and are included in operating expenses.

Management fees are calculated at 6.0% of collected revenue and are included in operating expenses. Average monthly revenue per occupied unit is $4,414, inclusive of base rent and levels of care. Debt service coverage ratio was 7.53x on a trailing basis against a covenant minimum of 1.20x. Effective gross income for the trailing period was $190,000, representing a 5.7% increase over the prior year. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Net operating income is projected to grow at a compound annual rate of 6.3% over the hold period.

## Property Operations

The community provides assisted living and memory care services under a state-issued license with 41 full-time caregivers per shift. Service requests are tracked through a work-order system with an average completion time of 8 hours. Marketing efforts include digital listings, signage, broker outreach and a resident referral program. Collections for the period were 90.1% of billed charges, with bad debt of 4.0% of gross potential income. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 3 additional team members.

The community provides assisted living and memory care services under a state-issued license with 12 full-time caregivers per shift. Marketing efforts include digital listings, signage, broker outreach and a resident referral program. Collections for the period were 88.6% of billed charges, with bad debt of 7.1% of gross potential income. Service requests are tracked through a work-order system with an average completion time of 12 hours. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period.

## Financial Analysis

Effective gross income for the trailing period was $382,000, representing a 3.0% increase over the prior year. Dining, housekeeping, transportation and activities programming are included in the base fee. Occupancy stands at 94.9% with an average resident length of stay of 5 years. Debt service coverage ratio was 6.53x on a trailing basis against a covenant minimum of 1.20x. Management fees are calculated at 4.5% of collected revenue and are included in operating expenses.

A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Average monthly revenue per occupied unit is $4,414, inclusive of base rent and levels of care. Operating expenses totaled $318,000 or approximately 28.87 per square foot, with real estate taxes representing the largest line item. Occupancy stands at 90.0% with an average resident length of stay of 4 years. Effective gross income for the trailing period was $412,000, representing a 12.6% increase over the prior year.

## Management Commentary

The community provides assisted living and memory care services under a state-issued license with 43 full-time caregivers per shift. The manager completes a monthly walk of the property and submits a variance report to the owner by the 45th business day. Occupancy stands at 93.7% with an average resident length of stay of 9 years. Average monthly revenue per occupied unit is $4,414, inclusive of base rent and levels of care. Service requests are tracked through a work-order system with an average completion time of 19 hours.

Collections for the period were 88.3% of billed charges, with bad debt of 4.7% of gross potential income. The community provides assisted living and memory care services under a state-issued license with 44 full-time caregivers per shift. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 16 additional team members. Marketing efforts include digital listings, signage, broker outreach and a resident referral program.

## Financial Analysis

Debt service coverage ratio was 6.99x on a trailing basis against a covenant minimum of 1.20x. The going-in capitalization rate of 6.32% reflects the in-place income and the stabilized occupancy assumption. Operating expenses totaled $300,000 or approximately 36.25 per square foot, with real estate taxes representing the largest line item. Average monthly revenue per occupied unit is $4,414, inclusive of base rent and levels of care. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Net operating income is projected to grow at a compound annual rate of 3.7% over the hold period.

Net operating income is projected to grow at a compound annual rate of 3.4% over the hold period. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Occupancy stands at 96.4% with an average resident length of stay of 3 years. Management fees are calculated at 5.4% of collected revenue and are included in operating expenses.

## Management Commentary

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## Trailing 12-Month Operating Statement (Detail)

| Account | Nov | Dec | Jan | Feb | Mar | Apr | May | Jun | Jul | Aug | Sep | Oct | T-12 |
|---|---|---|---|---|---|---|---|---|---|---|---|---|---|
| 4360 Electricity - Common | 15,766 | 15,803 | 15,892 | 16,344 | 16,536 | 14,685 | 16,314 | 16,283 | 16,088 | 15,586 | 15,463 | 14,948 | 189,708 |
| 4370 Gas - Common | 17,148 | 16,748 | 16,606 | 17,233 | 17,500 | 17,587 | 17,109 | 17,134 | 17,974 | 17,128 | 18,351 | 16,213 | 206,731 |
| 4380 Water & Sewer | 39,423 | 39,231 | 39,326 | 39,260 | 37,210 | 39,705 | 38,136 | 37,396 | 40,097 | 39,765 | 37,993 | 36,501 | 464,042 |
| 4390 Telephone/Internet | 20,644 | 23,062 | 22,800 | 22,883 | 20,968 | 23,434 | 21,286 | 22,611 | 22,876 | 22,789 | 21,390 | 21,515 | 266,256 |
| 4400 Advertising | 30,319 | 29,896 | 28,874 | 29,120 | 29,428 | 27,642 | 28,628 | 30,911 | 27,287 | 30,903 | 31,039 | 31,040 | 355,089 |
| 4410 Resident Events | 56,855 | 53,667 | 56,056 | 54,668 | 51,150 | 57,410 | 54,509 | 54,934 | 56,543 | 54,671 | 56,739 | 56,181 | 663,383 |
| 4420 Office Supplies | 24,458 | 25,825 | 24,647 | 24,802 | 24,242 | 23,181 | 24,721 | 25,716 | 24,151 | 25,417 | 24,368 | 25,261 | 296,789 |
| 4430 Legal & Professional | 47,823 | 49,222 | 45,120 | 46,211 | 46,392 | 45,711 | 47,966 | 49,182 | 45,767 | 48,968 | 50,305 | 45,087 | 567,753 |
| 4440 Accounting & Audit | 53,579 | 52,820 | 58,632 | 51,248 | 54,799 | 53,815 | 53,937 | 53,973 | 57,280 | 58,667 | 52,115 | 57,188 | 658,054 |
| 4450 Licenses & Permits | 11,278 | 11,421 | 11,079 | 11,145 | 12,352 | 11,972 | 11,591 | 12,347 | 10,809 | 12,086 | 11,979 | 12,152 | 140,210 |
| 4460 Management Fee | 24,708 | 27,397 | 27,931 | 27,837 | 27,078 | 25,009 | 25,089 | 26,567 | 24,847 | 27,788 | 25,296 | 25,773 | 315,320 |
| 4470 Property Insurance | 27,942 | 26,113 | 29,067 | 28,385 | 27,714 | 27,141 | 26,380 | 26,616 | 28,158 | 28,515 | 25,777 | 27,739 | 329,546 |
| 4480 Real Estate Taxes | 35,831 | 35,063 | 39,024 | 38,325 | 36,059 | 37,775 | 35,985 | 39,230 | 38,863 | 35,519 | 35,210 | 37,082 | 443,966 |
| 4490 Asset Management Fee | 47,026 | 43,896 | 49,272 | 46,437 | 44,823 | 49,476 | 47,782 | 46,211 | 49,902 | 49,158 | 44,053 | 47,964 | 566,000 |
| 4500 Replacement Reserves | 23,681 | 22,420 | 22,583 | 22,895 | 22,915 | 24,350 | 21,894 | 24,435 | 22,074 | 21,601 | 21,756 | 23,478 | 274,082 |
| 4510 Roof Repairs | 31,226 | 31,866 | 30,924 | 29,096 | 29,023 | 29,590 | 28,762 | 31,678 | 28,546 | 29,080 | 30,726 | 31,737 | 362,254 |
| 4520 Parking Lot Repairs | 36,595 | 37,240 | 35,978 | 35,641 | 32,659 | 35,407 | 36,634 | 35,717 | 35,898 | 33,293 | 36,256 | 32,731 | 424,051 |
| 4530 Signage | 51,691 | 54,503 | 49,809 | 54,272 | 49,893 | 56,958 | 56,193 | 55,025 | 56,576 | 50,436 | 50,919 | 55,659 | 641,933 |
| 4540 Tenant Improvements | 13,532 | 14,478 | 13,399 | 14,355 | 13,575 | 14,559 | 14,030 | 13,373 | 13,076 | 13,072 | 13,079 | 13,825 | 164,351 |
| 4550 Leasing Commissions | 20,879 | 19,564 | 21,806 | 21,486 | 21,011 | 21,942 | 19,328 | 19,613 | 22,131 | 20,580 | 22,202 | 21,523 | 252,065 |
| 4000 Gross Potential Rent | 483,006 | 476,364 | 488,048 | 490,268 | 474,737 | 477,730 | 433,073 | 453,055 | 485,307 | 481,467 | 436,412 | 453,328 | 5,632,794 |
| 4010 Loss to Lease | 48,897 | 51,579 | 49,285 | 54,253 | 52,277 | 52,959 | 54,601 | 50,140 | 52,001 | 49,854 | 48,549 | 53,184 | 617,580 |
| 4020 Vacancy Loss | 189,953 | 186,344 | 194,864 | 193,952 | 186,429 | 196,932 | 192,306 | 194,363 | 179,635 | 186,394 | 191,292 | 182,833 | 2,275,298 |
| 4030 Concessions | 79,351 | 73,138 | 71,598 | 74,389 | 73,335 | 74,758 | 78,342 | 80,996 | 77,511 | 74,859 | 74,171 | 75,607 | 908,056 |
| 4040 Bad Debt | 385,113 | 372,359 | 358,495 | 392,476 | 395,188 | 357,847 | 362,128 | 392,373 | 379,385 | 392,008 | 378,847 | 394,268 | 4,560,487 |
| 4050 Late Fees | 401,031 | 388,755 | 383,057 | 396,909 | 381,733 | 404,764 | 402,842 | 404,960 | 404,445 | 420,991 | 372,803 | 424,475 | 4,786,766 |
| 4060 Utility Reimbursements | 356,082 | 343,193 | 355,142 | 359,493 | 359,004 | 351,725 | 365,046 | 352,344 | 363,460 | 337,756 | 353,886 | 352,693 | 4,249,822 |
| 4070 Parking Income | 200,697 | 192,577 | 190,002 | 183,334 | 199,067 | 196,549 | 192,275 | 177,790 | 193,330 | 184,436 | 190,140 | 195,022 | 2,295,220 |
| 4080 Application Fees | 151,175 | 157,391 | 143,913 | 148,048 | 148,749 | 141,776 | 147,375 | 155,821 | 145,407 | 150,463 | 161,591 | 160,704 | 1,812,413 |
| 4090 Pet Rent | 415,571 | 416,997 | 397,868 | 374,740 | 372,699 | 388,545 | 401,289 | 392,511 | 417,192 | 369,395 | 378,577 | 412,229 | 4,737,614 |
| 4100 Laundry Income | 19,166 | 18,857 | 18,570 | 16,900 | 18,476 | 18,565 | 18,548 | 18,492 | 19,348 | 17,025 | 18,957 | 19,104 | 222,006 |
| 4110 Cable/Internet Revenue | 42,973 | 39,062 | 41,378 | 42,011 | 38,736 | 38,404 | 42,409 | 42,822 | 38,077 | 39,488 | 39,656 | 37,965 | 482,981 |
| 4120 CAM Reimbursements | 310,764 | 288,431 | 300,762 | 289,468 | 309,410 | 297,111 | 314,864 | 315,357 | 295,071 | 291,994 | 305,556 | 286,017 | 3,604,805 |
| 4130 Tax Reimbursements | 116,703 | 119,720 | 110,393 | 121,860 | 112,492 | 113,781 | 107,823 | 110,804 | 121,261 | 121,025 | 108,137 | 118,275 | 1,382,274 |
| 4140 Insurance Reimbursements | 255,460 | 272,794 | 274,402 | 285,450 | 284,462 | 265,980 | 270,877 | 275,825 | 276,519 | 259,189 | 274,886 | 279,259 | 3,275,103 |
| 4150 Percentage Rent | 13,576 | 12,677 | 13,583 | 12,465 | 13,966 | 12,875 | 13,621 | 12,358 | 12,495 | 13,441 | 12,848 | 13,307 | 157,213 |
| 4160 Misc. Income | 393,656 | 374,215 | 422,625 | 369,503 | 377,020 | 380,862 | 420,106 | 410,415 | 382,518 | 374,293 | 370,430 | 417,046 | 4,692,689 |
| 4170 Payroll - Management | 36,798 | 39,445 | 37,835 | 40,479 | 40,837 | 40,039 | 36,152 | 37,156 | 39,705 | 36,485 | 39,674 | 40,110 | 464,714 |
| 4180 Payroll - Leasing | 44,634 | 45,392 | 44,921 | 41,397 | 45,209 | 43,960 | 44,668 | 45,161 | 44,260 | 45,689 | 40,855 | 46,481 | 532,626 |
| 4190 Payroll - Maintenance | 26,059 | 24,381 | 25,616 | 26,519 | 24,062 | 24,150 | 23,525 | 24,673 | 26,689 | 24,375 | 26,746 | 23,729 | 300,525 |
| 4200 Payroll Taxes & Benefits | 26,750 | 28,332 | 29,071 | 29,091 | 27,605 | 27,531 | 27,879 | 27,640 | 28,105 | 26,149 | 26,478 | 29,343 | 333,974 |
| 4210 Repairs - Plumbing | 5,931 | 5,774 | 5,450 | 5,372 | 5,820 | 5,290 | 5,689 | 5,347 | 5,290 | 5,890 | 5,618 | 5,239 | 66,709 |
| 4220 Repairs - HVAC | 47,351 | 44,240 | 47,104 | 42,993 | 44,904 | 44,191 | 44,224 | 45,405 | 48,285 | 46,972 | 42,518 | 46,332 | 544,520 |
| 4230 Repairs - Electrical | 6,822 | 6,654 | 6,760 | 6,721 | 6,816 | 6,381 | 6,563 | 6,814 | 6,803 | 6,748 | 6,743 | 6,414 | 80,238 |
| 4240 Repairs - Appliances | 30,050 | 30,628 | 30,140 | 31,264 | 29,326 | 29,824 | 30,248 | 32,013 | 31,020 | 29,996 | 30,897 | 30,718 | 366,125 |
| 4250 Painting & Decorating | 35,508 | 35,328 | 34,800 | 36,005 | 37,066 | 37,038 | 38,218 | 36,980 | 38,511 | 36,056 | 34,137 | 35,741 | 435,387 |

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## Operating Performance

Net operating income is projected to grow at a compound annual rate of 4.3% over the hold period. The community provides assisted living and memory care services under a state-issued license with 44 full-time caregivers per shift. Management fees are calculated at 7.0% of collected revenue and are included in operating expenses. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Debt service coverage ratio was 5.74x on a trailing basis against a covenant minimum of 1.20x. Dining, housekeeping, transportation and activities programming are included in the base fee.

Net operating income is projected to grow at a compound annual rate of 7.8% over the hold period. Operating expenses totaled $124,000 or approximately 26.73 per square foot, with real estate taxes representing the largest line item. Average monthly revenue per occupied unit is $4,414, inclusive of base rent and levels of care. Management fees are calculated at 6.9% of collected revenue and are included in operating expenses. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income.

## Management Commentary

Average monthly revenue per occupied unit is $4,414, inclusive of base rent and levels of care. Dining, housekeeping, transportation and activities programming are included in the base fee. Occupancy stands at 88.3% with an average resident length of stay of 8 years. Service requests are tracked through a work-order system with an average completion time of 17 hours. The community provides assisted living and memory care services under a state-issued license with 47 full-time caregivers per shift. Collections for the period were 92.4% of billed charges, with bad debt of 6.5% of gross potential income.

Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. Collections for the period were 88.5% of billed charges, with bad debt of 7.8% of gross potential income. Service requests are tracked through a work-order system with an average completion time of 26 hours. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 27 additional team members.

## Income and Expense Review

Average monthly revenue per occupied unit is $4,414, inclusive of base rent and levels of care. Management fees are calculated at 4.1% of collected revenue and are included in operating expenses. Debt service coverage ratio was 5.82x on a trailing basis against a covenant minimum of 1.20x. Net operating income is projected to grow at a compound annual rate of 4.9% over the hold period.

A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Management fees are calculated at 3.5% of collected revenue and are included in operating expenses. Operating expenses totaled $331,000 or approximately 43.53 per square foot, with real estate taxes representing the largest line item. Average monthly revenue per occupied unit is $4,414, inclusive of base rent and levels of care.

## Property Operations

The community provides assisted living and memory care services under a state-issued license with 26 full-time caregivers per shift. Marketing efforts include digital listings, signage, broker outreach and a resident referral program. Dining, housekeeping, transportation and activities programming are included in the base fee. Collections for the period were 96.4% of billed charges, with bad debt of 6.2% of gross potential income.

Marketing efforts include digital listings, signage, broker outreach and a resident referral program. Average monthly revenue per occupied unit is $4,414, inclusive of base rent and levels of care. The community provides assisted living and memory care services under a state-issued license with 46 full-time caregivers per shift. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 40 additional team members. Occupancy stands at 89.8% with an average resident length of stay of 9 years. The manager completes a monthly walk of the property and submits a variance report to the owner by the 16th business day.

## Income and Expense Review

Effective gross income for the trailing period was $447,000, representing a 7.4% increase over the prior year. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. The community provides assisted living and memory care services under a state-issued license with 25 full-time caregivers per shift. Dining, housekeeping, transportation and activities programming are included in the base fee.

The community provides assisted living and memory care services under a state-issued license with 24 full-time caregivers per shift. Effective gross income for the trailing period was $273,000, representing a 5.5% increase over the prior year. Management fees are calculated at 4.6% of collected revenue and are included in operating expenses. Dining, housekeeping, transportation and activities programming are included in the base fee. Average monthly revenue per occupied unit is $4,414, inclusive of base rent and levels of care. Operating expenses totaled $34,000 or approximately 40.11 per square foot, with real estate taxes representing the largest line item.

## Management Commentary

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## Trailing 12-Month Operating Statement (Detail)

| Account | Nov | Dec | Jan | Feb | Mar | Apr | May | Jun | Jul | Aug | Sep | Oct | T-12 |
|---|---|---|---|---|---|---|---|---|---|---|---|---|---|
| 4290 Snow Removal | 29,974 | 29,263 | 31,276 | 29,442 | 28,731 | 30,079 | 29,294 | 28,692 | 29,302 | 29,771 | 31,246 | 28,274 | 355,343 |
| 4300 Janitorial | 41,047 | 39,455 | 40,847 | 42,803 | 43,331 | 43,409 | 40,177 | 39,013 | 40,903 | 39,432 | 42,294 | 40,362 | 493,074 |
| 4310 Pest Control | 11,326 | 11,388 | 11,220 | 11,231 | 11,165 | 11,429 | 11,341 | 10,448 | 11,901 | 11,261 | 10,663 | 10,402 | 133,775 |
| 4320 Trash Removal | 46,352 | 45,790 | 43,128 | 45,817 | 43,422 | 42,054 | 46,244 | 43,771 | 44,098 | 44,171 | 47,543 | 42,260 | 534,651 |
| 4330 Elevator Contract | 10,392 | 11,498 | 10,664 | 11,231 | 11,143 | 10,679 | 11,329 | 11,118 | 10,320 | 11,613 | 10,463 | 11,114 | 131,564 |
| 4340 Fire & Life Safety | 21,202 | 21,946 | 21,118 | 23,166 | 21,855 | 22,397 | 21,719 | 21,755 | 23,915 | 21,004 | 21,897 | 22,110 | 264,084 |
| 4350 Security | 23,391 | 22,886 | 23,809 | 25,041 | 23,177 | 25,005 | 22,217 | 25,091 | 24,690 | 23,234 | 23,096 | 22,500 | 284,139 |
| 4360 Electricity - Common | 15,226 | 16,407 | 14,836 | 14,561 | 14,696 | 14,737 | 15,829 | 16,429 | 15,852 | 15,089 | 15,284 | 15,561 | 184,507 |
| 4370 Gas - Common | 14,061 | 13,519 | 13,386 | 14,285 | 13,461 | 13,777 | 12,988 | 14,121 | 13,368 | 12,797 | 14,149 | 13,378 | 163,289 |
| 4380 Water & Sewer | 46,281 | 47,832 | 51,596 | 51,999 | 45,513 | 50,909 | 50,454 | 51,884 | 45,473 | 51,676 | 51,195 | 48,006 | 592,817 |
| 4390 Telephone/Internet | 15,017 | 15,131 | 16,404 | 15,473 | 15,555 | 15,809 | 16,520 | 15,202 | 14,661 | 15,006 | 15,732 | 16,377 | 186,886 |
| 4400 Advertising | 19,145 | 20,618 | 20,836 | 19,902 | 19,272 | 21,455 | 18,967 | 19,724 | 19,819 | 19,052 | 21,354 | 21,620 | 241,763 |
| 4410 Resident Events | 5,213 | 5,255 | 5,394 | 5,032 | 4,962 | 5,305 | 5,398 | 5,394 | 5,503 | 5,636 | 5,448 | 4,992 | 63,531 |
| 4420 Office Supplies | 46,539 | 48,866 | 47,935 | 47,853 | 48,462 | 48,064 | 51,711 | 50,001 | 50,800 | 52,694 | 50,916 | 51,880 | 595,721 |
| 4430 Legal & Professional | 43,146 | 43,958 | 39,658 | 43,296 | 42,501 | 42,830 | 41,977 | 41,249 | 43,213 | 39,702 | 38,552 | 41,859 | 501,939 |
| 4440 Accounting & Audit | 42,395 | 46,854 | 43,954 | 46,165 | 45,497 | 45,975 | 45,811 | 48,552 | 46,593 | 47,581 | 44,617 | 42,781 | 546,775 |
| 4450 Licenses & Permits | 49,811 | 49,118 | 46,928 | 44,788 | 45,343 | 45,163 | 49,032 | 46,208 | 48,669 | 43,540 | 44,411 | 49,790 | 562,801 |
| 4460 Management Fee | 8,462 | 8,327 | 8,065 | 8,227 | 8,188 | 7,875 | 8,566 | 7,667 | 7,580 | 8,455 | 8,703 | 8,676 | 98,791 |
| 4470 Property Insurance | 45,115 | 44,162 | 42,634 | 47,145 | 45,331 | 43,353 | 43,094 | 45,320 | 41,901 | 45,440 | 44,750 | 42,579 | 530,825 |
| 4480 Real Estate Taxes | 40,320 | 36,636 | 37,191 | 38,916 | 38,331 | 35,967 | 35,946 | 40,717 | 36,823 | 41,086 | 38,833 | 37,871 | 458,638 |
| 4490 Asset Management Fee | 12,582 | 12,044 | 13,632 | 12,560 | 13,302 | 12,854 | 12,095 | 12,352 | 13,598 | 13,408 | 12,296 | 13,210 | 153,935 |
| 4500 Replacement Reserves | 6,594 | 6,416 | 5,846 | 6,024 | 6,690 | 6,670 | 6,483 | 6,256 | 6,702 | 6,565 | 5,919 | 6,683 | 76,850 |
| 4510 Roof Repairs | 16,907 | 16,247 | 15,842 | 15,138 | 16,640 | 16,944 | 16,705 | 15,569 | 15,663 | 16,946 | 16,715 | 14,944 | 194,260 |
| 4520 Parking Lot Repairs | 54,634 | 50,865 | 54,731 | 55,596 | 50,639 | 51,642 | 55,498 | 52,658 | 55,406 | 50,458 | 51,398 | 56,297 | 639,823 |
| 4530 Signage | 18,887 | 18,384 | 18,300 | 17,938 | 16,604 | 16,740 | 17,533 | 17,315 | 17,394 | 18,542 | 18,357 | 17,288 | 213,282 |
| 4540 Tenant Improvements | 34,478 | 38,243 | 35,234 | 37,226 | 37,548 | 39,398 | 36,434 | 38,343 | 36,627 | 35,466 | 37,976 | 37,249 | 444,221 |
| 4550 Leasing Commissions | 55,799 | 53,655 | 57,878 | 54,024 | 54,814 | 50,930 | 53,983 | 54,287 | 54,177 | 53,189 | 54,567 | 50,856 | 648,159 |
| 4000 Gross Potential Rent | 461,920 | 476,856 | 479,098 | 459,034 | 448,896 | 493,147 | 462,323 | 437,780 | 476,930 | 458,303 | 456,375 | 471,643 | 5,582,304 |
| 4010 Loss to Lease | 369,380 | 345,922 | 392,855 | 388,332 | 393,653 | 362,591 | 349,008 | 356,793 | 368,601 | 385,068 | 348,289 | 348,169 | 4,408,662 |
| 4020 Vacancy Loss | 140,287 | 144,078 | 141,949 | 154,313 | 148,144 | 139,105 | 154,157 | 141,553 | 153,633 | 144,590 | 153,444 | 155,870 | 1,771,125 |
| 4030 Concessions | 262,624 | 271,951 | 285,384 | 288,204 | 286,430 | 288,461 | 271,605 | 264,833 | 274,449 | 277,612 | 292,312 | 258,640 | 3,322,505 |
| 4040 Bad Debt | 204,462 | 200,541 | 193,843 | 202,715 | 196,018 | 213,158 | 211,616 | 195,977 | 193,626 | 213,254 | 206,742 | 193,215 | 2,425,167 |
| 4050 Late Fees | 133,600 | 133,354 | 142,557 | 139,775 | 127,375 | 145,751 | 130,654 | 132,120 | 144,896 | 129,185 | 133,206 | 134,158 | 1,626,631 |
| 4060 Utility Reimbursements | 188,777 | 198,341 | 203,030 | 199,808 | 194,261 | 199,258 | 188,038 | 194,887 | 189,648 | 181,429 | 196,854 | 191,184 | 2,325,517 |
| 4070 Parking Income | 364,374 | 388,718 | 393,244 | 392,456 | 378,682 | 397,706 | 386,345 | 395,063 | 365,557 | 370,198 | 389,914 | 350,567 | 4,572,823 |
| 4080 Application Fees | 298,530 | 304,778 | 318,681 | 279,933 | 310,101 | 278,672 | 282,748 | 304,639 | 307,216 | 279,233 | 313,741 | 296,718 | 3,574,989 |
| 4090 Pet Rent | 127,063 | 127,500 | 130,470 | 134,491 | 119,545 | 124,171 | 121,602 | 132,717 | 129,946 | 135,786 | 122,813 | 133,027 | 1,539,132 |
| 4100 Laundry Income | 205,176 | 216,373 | 221,204 | 224,840 | 217,813 | 221,238 | 221,154 | 213,034 | 211,750 | 226,390 | 206,345 | 209,324 | 2,594,642 |
| 4110 Cable/Internet Revenue | 194,348 | 203,004 | 201,182 | 201,731 | 203,857 | 207,752 | 202,827 | 215,943 | 198,900 | 204,341 | 204,670 | 194,110 | 2,432,666 |
| 4120 CAM Reimbursements | 247,575 | 248,267 | 244,690 | 242,502 | 249,467 | 254,064 | 251,212 | 268,516 | 237,521 | 245,756 | 271,475 | 239,278 | 3,000,322 |
| 4130 Tax Reimbursements | 66,042 | 70,060 | 70,301 | 66,073 | 70,434 | 64,997 | 61,372 | 64,000 | 66,380 | 64,734 | 69,317 | 65,895 | 799,604 |
| 4140 Insurance Reimbursements | 212,374 | 215,357 | 218,958 | 210,438 | 210,923 | 218,686 | 197,386 | 211,051 | 199,389 | 191,809 | 200,312 | 212,306 | 2,498,990 |
| 4150 Percentage Rent | 177,569 | 171,230 | 166,052 | 185,021 | 168,497 | 171,005 | 166,838 | 170,366 | 178,770 | 181,154 | 185,423 | 184,007 | 2,105,932 |
| 4160 Misc. Income | 422,350 | 403,692 | 390,602 | 387,383 | 395,274 | 390,344 | 428,355 | 381,410 | 429,394 | 408,705 | 396,425 | 403,929 | 4,837,863 |
| 4170 Payroll - Management | 45,612 | 45,673 | 45,867 | 42,666 | 41,930 | 41,771 | 42,939 | 44,987 | 42,167 | 45,107 | 42,081 | 41,502 | 522,303 |
| 4180 Payroll - Leasing | 11,145 | 11,160 | 10,811 | 10,883 | 10,536 | 10,903 | 11,811 | 11,646 | 10,643 | 10,728 | 10,677 | 10,590 | 131,534 |
| 4190 Payroll - Maintenance | 15,667 | 15,506 | 15,114 | 15,488 | 15,363 | 15,300 | 14,675 | 15,161 | 15,768 | 15,642 | 14,253 | 15,912 | 183,847 |

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## Valuation Discussion

Average monthly revenue per occupied unit is $4,414, inclusive of base rent and levels of care. Dining, housekeeping, transportation and activities programming are included in the base fee. The going-in capitalization rate of 5.74% reflects the in-place income and the stabilized occupancy assumption. Net operating income is projected to grow at a compound annual rate of 6.0% over the hold period. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Effective gross income for the trailing period was $470,000, representing a 6.5% increase over the prior year.

Effective gross income for the trailing period was $394,000, representing a 8.0% increase over the prior year. Net operating income is projected to grow at a compound annual rate of 4.1% over the hold period. The going-in capitalization rate of 7.98% reflects the in-place income and the stabilized occupancy assumption. Management fees are calculated at 6.5% of collected revenue and are included in operating expenses. Dining, housekeeping, transportation and activities programming are included in the base fee. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income.

## Leasing and Marketing

Marketing efforts include digital listings, signage, broker outreach and a resident referral program. Service requests are tracked through a work-order system with an average completion time of 44 hours. Dining, housekeeping, transportation and activities programming are included in the base fee. Average monthly revenue per occupied unit is $4,414, inclusive of base rent and levels of care.

Average monthly revenue per occupied unit is $4,414, inclusive of base rent and levels of care. Dining, housekeeping, transportation and activities programming are included in the base fee. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 9 additional team members. The community provides assisted living and memory care services under a state-issued license with 21 full-time caregivers per shift. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period.

## Operating Performance

Average monthly revenue per occupied unit is $4,414, inclusive of base rent and levels of care. Operating expenses totaled $248,000 or approximately 22.13 per square foot, with real estate taxes representing the largest line item. Management fees are calculated at 3.7% of collected revenue and are included in operating expenses. Effective gross income for the trailing period was $352,000, representing a 6.4% increase over the prior year. Dining, housekeeping, transportation and activities programming are included in the base fee. Occupancy stands at 96.1% with an average resident length of stay of 7 years.

The going-in capitalization rate of 6.02% reflects the in-place income and the stabilized occupancy assumption. Management fees are calculated at 7.0% of collected revenue and are included in operating expenses. Operating expenses totaled $166,000 or approximately 6.17 per square foot, with real estate taxes representing the largest line item. Effective gross income for the trailing period was $441,000, representing a 8.1% increase over the prior year. Occupancy stands at 88.6% with an average resident length of stay of 6 years. Average monthly revenue per occupied unit is $4,414, inclusive of base rent and levels of care.

## Management Commentary

Dining, housekeeping, transportation and activities programming are included in the base fee. Marketing efforts include digital listings, signage, broker outreach and a resident referral program. The manager completes a monthly walk of the property and submits a variance report to the owner by the 37th business day. Occupancy stands at 96.8% with an average resident length of stay of 10 years. Collections for the period were 94.5% of billed charges, with bad debt of 4.2% of gross potential income. Average monthly revenue per occupied unit is $4,414, inclusive of base rent and levels of care.

Average monthly revenue per occupied unit is $4,414, inclusive of base rent and levels of care. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 40 additional team members. Service requests are tracked through a work-order system with an average completion time of 35 hours. Collections for the period were 92.0% of billed charges, with bad debt of 3.9% of gross potential income. The manager completes a monthly walk of the property and submits a variance report to the owner by the 21th business day.

## Income and Expense Review

Average monthly revenue per occupied unit is $4,414, inclusive of base rent and levels of care. Net operating income is projected to grow at a compound annual rate of 7.5% over the hold period. Occupancy stands at 89.1% with an average resident length of stay of 6 years. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income.

Occupancy stands at 95.7% with an average resident length of stay of 3 years. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. The community provides assisted living and memory care services under a state-issued license with 16 full-time caregivers per shift. The going-in capitalization rate of 6.34% reflects the in-place income and the stabilized occupancy assumption. Dining, housekeeping, transportation and activities programming are included in the base fee.

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## Trailing 12-Month Operating Statement (Detail)

| Account | Nov | Dec | Jan | Feb | Mar | Apr | May | Jun | Jul | Aug | Sep | Oct | T-12 |
|---|---|---|---|---|---|---|---|---|---|---|---|---|---|
| 4120 CAM Reimbursements | 125,287 | 125,140 | 116,763 | 119,501 | 118,606 | 126,826 | 127,720 | 125,235 | 119,861 | 130,628 | 125,955 | 126,003 | 1,487,525 |
| 4130 Tax Reimbursements | 17,680 | 15,996 | 16,335 | 17,334 | 15,971 | 17,535 | 16,577 | 16,141 | 17,909 | 16,249 | 15,999 | 16,978 | 200,705 |
| 4140 Insurance Reimbursements | 182,241 | 174,876 | 173,298 | 186,128 | 185,249 | 187,279 | 183,126 | 184,281 | 174,041 | 164,896 | 188,126 | 167,117 | 2,150,657 |
| 4150 Percentage Rent | 118,129 | 112,702 | 112,246 | 116,975 | 119,996 | 119,722 | 110,317 | 109,150 | 108,569 | 112,840 | 107,144 | 111,032 | 1,358,820 |
| 4160 Misc. Income | 344,365 | 374,129 | 354,141 | 333,507 | 344,927 | 358,066 | 339,051 | 337,227 | 333,433 | 361,820 | 343,079 | 357,207 | 4,180,951 |
| 4170 Payroll - Management | 21,846 | 20,548 | 21,127 | 20,229 | 21,020 | 20,495 | 20,053 | 22,061 | 21,549 | 21,055 | 20,136 | 20,667 | 250,786 |
| 4180 Payroll - Leasing | 9,558 | 9,982 | 10,050 | 10,775 | 10,690 | 9,613 | 9,845 | 10,314 | 10,314 | 10,055 | 10,408 | 9,940 | 121,545 |
| 4190 Payroll - Maintenance | 13,118 | 12,660 | 12,080 | 13,470 | 12,289 | 12,286 | 12,462 | 12,520 | 12,369 | 13,225 | 12,524 | 13,035 | 152,040 |
| 4200 Payroll Taxes & Benefits | 15,032 | 15,933 | 15,467 | 14,827 | 15,669 | 15,043 | 16,167 | 15,404 | 15,523 | 16,086 | 14,453 | 15,549 | 185,153 |
| 4210 Repairs - Plumbing | 38,608 | 35,866 | 38,663 | 34,537 | 38,146 | 34,783 | 35,472 | 38,164 | 34,298 | 38,003 | 36,026 | 37,000 | 439,567 |
| 4220 Repairs - HVAC | 20,138 | 19,733 | 19,522 | 20,374 | 21,226 | 20,035 | 20,982 | 21,488 | 20,596 | 21,370 | 21,163 | 20,481 | 247,106 |
| 4230 Repairs - Electrical | 57,538 | 54,277 | 58,934 | 54,470 | 57,937 | 57,294 | 57,062 | 56,312 | 55,256 | 53,585 | 54,293 | 57,421 | 674,379 |
| 4240 Repairs - Appliances | 30,293 | 27,293 | 27,101 | 29,889 | 27,155 | 28,710 | 27,162 | 28,612 | 28,371 | 29,461 | 28,520 | 27,960 | 340,526 |
| 4250 Painting & Decorating | 32,777 | 34,479 | 30,709 | 31,415 | 30,334 | 33,929 | 31,009 | 31,908 | 30,782 | 33,190 | 31,090 | 30,449 | 382,072 |
| 4260 Flooring | 31,256 | 33,876 | 34,131 | 33,123 | 35,025 | 31,264 | 33,910 | 31,790 | 34,759 | 35,686 | 32,332 | 35,607 | 402,760 |
| 4270 Make-Ready / Turnover | 16,812 | 17,155 | 16,568 | 17,599 | 15,686 | 15,827 | 16,567 | 15,583 | 15,824 | 17,788 | 16,345 | 17,540 | 199,294 |
| 4280 Landscaping Contract | 13,514 | 12,872 | 12,966 | 14,131 | 13,205 | 13,526 | 13,429 | 14,630 | 14,351 | 14,361 | 13,714 | 12,911 | 163,612 |
| 4290 Snow Removal | 21,049 | 21,722 | 21,237 | 21,623 | 19,370 | 21,274 | 20,970 | 19,427 | 20,001 | 20,947 | 19,472 | 20,271 | 247,363 |
| 4300 Janitorial | 7,163 | 6,806 | 6,404 | 6,923 | 6,562 | 7,148 | 6,431 | 6,752 | 6,944 | 6,660 | 6,967 | 6,763 | 81,521 |
| 4310 Pest Control | 47,358 | 44,791 | 45,627 | 46,324 | 46,952 | 41,980 | 42,303 | 42,717 | 44,385 | 44,191 | 47,259 | 43,907 | 537,794 |
| 4320 Trash Removal | 46,051 | 44,012 | 45,418 | 48,225 | 49,053 | 45,558 | 43,935 | 45,308 | 49,007 | 44,437 | 46,552 | 48,781 | 556,338 |
| 4330 Elevator Contract | 8,689 | 9,038 | 9,165 | 8,493 | 8,716 | 8,483 | 8,328 | 9,183 | 8,254 | 8,188 | 8,484 | 9,231 | 104,252 |
| 4340 Fire & Life Safety | 54,407 | 56,330 | 51,977 | 53,944 | 52,434 | 52,098 | 52,934 | 51,765 | 56,483 | 52,000 | 50,847 | 57,779 | 642,998 |
| 4350 Security | 29,780 | 30,805 | 31,563 | 31,246 | 31,953 | 31,083 | 28,848 | 29,270 | 30,865 | 31,455 | 33,006 | 29,170 | 369,045 |
| 4360 Electricity - Common | 35,890 | 34,752 | 32,528 | 35,477 | 37,118 | 33,107 | 33,172 | 35,494 | 34,018 | 35,866 | 35,095 | 35,351 | 417,868 |
| 4370 Gas - Common | 38,515 | 39,768 | 38,402 | 43,626 | 43,076 | 41,059 | 41,459 | 42,240 | 41,921 | 38,546 | 40,045 | 38,296 | 486,951 |
| 4380 Water & Sewer | 17,845 | 17,833 | 17,735 | 17,405 | 16,148 | 17,954 | 16,837 | 16,614 | 16,554 | 16,129 | 17,589 | 16,672 | 205,316 |
| 4390 Telephone/Internet | 51,142 | 52,308 | 50,736 | 57,430 | 53,610 | 52,473 | 58,173 | 52,216 | 54,171 | 56,062 | 50,989 | 54,824 | 644,135 |
| 4400 Advertising | 37,255 | 36,568 | 37,249 | 37,161 | 33,960 | 34,056 | 33,410 | 32,697 | 36,570 | 37,078 | 33,881 | 34,483 | 424,369 |
| 4410 Resident Events | 17,039 | 15,921 | 16,510 | 15,465 | 15,787 | 17,253 | 16,582 | 15,411 | 17,419 | 17,187 | 16,679 | 17,034 | 198,286 |
| 4420 Office Supplies | 25,338 | 25,818 | 26,149 | 25,108 | 25,477 | 25,586 | 23,441 | 23,694 | 24,163 | 23,537 | 25,078 | 26,230 | 299,619 |
| 4430 Legal & Professional | 21,524 | 23,470 | 23,833 | 23,604 | 21,715 | 24,028 | 23,900 | 23,285 | 21,839 | 21,947 | 22,626 | 21,908 | 273,680 |
| 4440 Accounting & Audit | 49,580 | 46,629 | 46,083 | 46,507 | 49,809 | 48,194 | 50,336 | 48,692 | 49,924 | 50,376 | 49,432 | 51,023 | 586,586 |
| 4450 Licenses & Permits | 42,926 | 46,354 | 41,814 | 43,963 | 45,897 | 47,125 | 46,636 | 45,523 | 45,768 | 46,438 | 47,709 | 44,415 | 544,567 |
| 4460 Management Fee | 22,020 | 19,942 | 20,815 | 20,383 | 20,982 | 19,723 | 21,371 | 21,663 | 19,906 | 19,588 | 19,974 | 19,378 | 245,743 |
| 4470 Property Insurance | 33,917 | 33,266 | 32,724 | 33,591 | 34,232 | 34,768 | 31,056 | 34,025 | 31,878 | 32,919 | 32,205 | 31,273 | 395,853 |
| 4480 Real Estate Taxes | 36,785 | 35,692 | 35,042 | 37,853 | 38,782 | 37,614 | 37,151 | 39,961 | 38,705 | 38,982 | 37,732 | 39,126 | 453,426 |
| 4490 Asset Management Fee | 7,194 | 6,743 | 7,319 | 6,502 | 7,380 | 6,925 | 6,881 | 7,403 | 7,321 | 7,234 | 6,822 | 6,593 | 84,317 |
| 4500 Replacement Reserves | 37,404 | 41,295 | 41,605 | 42,517 | 37,934 | 41,988 | 40,438 | 39,657 | 41,009 | 39,811 | 38,151 | 38,587 | 480,397 |
| 4510 Roof Repairs | 13,250 | 13,536 | 12,639 | 12,986 | 14,195 | 14,047 | 12,734 | 12,661 | 13,919 | 14,499 | 12,708 | 14,307 | 161,479 |
| 4520 Parking Lot Repairs | 31,848 | 31,383 | 32,151 | 31,800 | 30,004 | 33,118 | 33,027 | 30,436 | 31,772 | 32,279 | 29,556 | 30,413 | 377,789 |
| 4530 Signage | 18,383 | 19,378 | 18,336 | 17,997 | 18,645 | 17,762 | 16,921 | 18,826 | 18,353 | 17,548 | 17,222 | 17,971 | 217,341 |
| 4540 Tenant Improvements | 26,124 | 24,205 | 24,683 | 26,465 | 24,419 | 24,368 | 23,674 | 26,038 | 26,486 | 25,889 | 24,185 | 23,451 | 299,986 |
| 4550 Leasing Commissions | 55,338 | 57,645 | 51,704 | 53,598 | 52,415 | 52,800 | 52,897 | 52,511 | 55,759 | 54,736 | 52,848 | 54,403 | 646,655 |
| 4000 Gross Potential Rent | 445,389 | 481,769 | 473,500 | 432,063 | 462,564 | 452,610 | 433,269 | 476,418 | 480,681 | 489,837 | 445,501 | 458,762 | 5,532,362 |

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# Summary and Notes

## Operating Performance

A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Operating expenses totaled $265,000 or approximately 27.65 per square foot, with real estate taxes representing the largest line item. Dining, housekeeping, transportation and activities programming are included in the base fee. Management fees are calculated at 6.4% of collected revenue and are included in operating expenses.

Debt service coverage ratio was 5.06x on a trailing basis against a covenant minimum of 1.20x. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Effective gross income for the trailing period was $310,000, representing a 13.9% increase over the prior year. Operating expenses totaled $242,000 or approximately 25.72 per square foot, with real estate taxes representing the largest line item. Management fees are calculated at 4.2% of collected revenue and are included in operating expenses.

## Leasing and Marketing

Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. Average monthly revenue per occupied unit is $4,414, inclusive of base rent and levels of care. The community provides assisted living and memory care services under a state-issued license with 16 full-time caregivers per shift. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 29 additional team members. Collections for the period were 93.3% of billed charges, with bad debt of 4.9% of gross potential income.

Average monthly revenue per occupied unit is $4,414, inclusive of base rent and levels of care. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. Marketing efforts include digital listings, signage, broker outreach and a resident referral program. Collections for the period were 93.8% of billed charges, with bad debt of 5.8% of gross potential income. Occupancy stands at 91.0% with an average resident length of stay of 7 years. The manager completes a monthly walk of the property and submits a variance report to the owner by the 17th business day.

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